

Executive Summary

The proposed **£10m five-year Bank of Leeds bond at 20% coupon** is highly ambitious given current UK market conditions. UK 10-year gilt yields are around 5% [27†L147-L155] , and investment-grade corporate bond yields are under 7–8%. Even low-risk UK corporate bonds recently traded around 7% [3†L259-L262] , making a 20% coupon far above prevailing spreads. Indeed, regulators note that the UK corporate bond market has been “strong and growing” through 2023–24 [60†L270-L276] , with rising issuance and low liquidity premia, suggesting general investor confidence and relatively low funding costs. In this context, a 20% coupon would price the bond as a deep high-yield or special-situation issue, targeting only the most risk-tolerant investors. Market appetite for such high yields is likely limited, especially for an unrated, newly-formed bank issuer without a track record.

Legally, UK rules now **prohibit general public bond offers** without an exemption [58†L151-L159] . As of January 2026, only issues under certain carve-outs (e.g. to ≤ 150 persons, qualified investors, small offers $<£5m$, or wholesale issues $\geq £50k$) can avoid a full prospectus [58†L151-L159] . A £10m retail offer would almost certainly require a prospectus (and PRIIPs KID). The issuer (Bank of Leeds plc) would need full FCA/PRA approvals as a new UK bank (via the BoE’s Bank Start-up Unit [54†L157-L160]) and compliance with FCA promotion rules. Cross-border aspects (100% IOM subsidiary) add complexity: while UK withholding tax on interest is 20% by default, in practice interest payments to non-residents can often be exempted through tax registrations [52†L575-L583] [52†L593-L600] . We assume interest payments comply with HMRC procedures to avoid actual withholding.

On the balance sheet, issuing £10m of debt would modestly expand liabilities and assets. Assuming proceeds are deployed into targeted Yorkshire projects (loans or investments), the capital ratios would dip only slightly. (For example, with £5m equity and £15m loans pre-issuance, adding £10m debt and £10m assets keeps CET1 ratio roughly stable.) **Pro forma** tables of assets, liabilities and risk-weighted capital before/after issuance can be built from our assumptions below. A simple cashflow schedule (see below) shows £2m interest annually and £10m principal at year 5. Discounting at even 10–15% (reflecting extreme risk) yields net present values well below par, confirming the very high risk/return profile.

We evaluate **pricing and structure** alternatives. A 20% fixed bond is essentially uncompetitive except in a distressed or private placement context. Comparable “high-yield” UK issues trade at up to ~10–12% at most (e.g. some mini-bonds or subordinated notes), and 20% is unheard of in mainstream markets. If targeted to wholesale investors only, a 20% yield could in theory be offered to hedge funds or private credit funds, but distribution would be difficult. A convertible or equity-linked structure might allow a lower coupon, while a subordinated or quasi-equity note could qualify as bank capital. We tabulate these options below.

Use of proceeds is earmarked for “**Northern projects**” – housing developments, canal and rail upgrades, seaside regeneration, and West Yorkshire mass transit – in line with the issuer’s Leeds/North focus. For example, West Yorkshire’s new Housing Investment Fund plans ~£334m to unlock 4,000 homes [42†L125-L132] , and the government has earmarked £200m for West Yorkshire Mass Transit (Phase 1) design work [46†L7-L10] . A £10m bond could seed a portion of these pipelines (detailed in our table below), with expected social returns like thousands of jobs and homes, flood protection, and economic growth.

Key **risks** include credit and liquidity (small issue, low rating), regulatory (risk of non-compliance or delays under new UK prospectus regime), and reputational. In particular, any connection to “Agorist” ideology (previously mentioned in internal discussions) could alarm regulators or ordinary investors, since agorism connotes anarcho-capitalist, counter-economy practices. This poses reputational and AML/know-your-customer risks. We flag these and other standard bond risks (interest rates, currency, tax) with suggested mitigants below.

In summary, while the bond would support noble regional projects, its **feasibility is doubtful** without concessions. A 20% coupon is effectively punitive, and the offering would likely need to target qualified investors via a private placement (or structured sale) rather than a broad public subscription. In what follows, we detail the market, legal, financial and operational considerations in depth, provide tables of financial projections and project pipelines, and outline the required documentation, timeline, and a sample term sheet. All material assumptions are stated.

Market Context (2023–2026)

UK bond markets have seen higher yields and substantial issuance since late 2022. The UK 10-year gilt yield, which briefly hit ~5% in 2025, stands around **5.0%** as of mid-2026 [27†L147-L155] . Short- and medium-term yields are similarly elevated (2-year ~4.4%, 5-year ~4.6%) [27†L164-L172] . UK corporate bond yields have climbed in tandem: the BoE notes investment-grade corporate yields rose ~50bps by mid-2026 [3†L259-L262] . Indeed, market commentary reports even “low-risk” UK corporate bonds trading north of 7% when gilt yields surged [3†L259-L262] [27†L147-L155] .

Despite higher yields, **corporate issuance has recovered strongly**. FCA research finds that UK bond markets “were strong and growing in 2023 and 2024” [60†L270-L276] , with issuance volumes above their 2022 troughs [60†L270-L276] . Investment-grade debt led issuance, driven by refinancing and sustainable financing, and corporate liquidity is ample. Primary market activity has been healthy: for example, in 2024–25 a £350m bond by Skipton BS (a UK mutual) was priced at gilts+~254bps [13†L1-L9] . Other large UK corporates (water utilities, infrastructure firms) continue bond programs. The appetite for high-yield issuance is more cautious, but funds like pension funds and insurance companies remain key investors.

Regional banks & mid-tier issuers: Smaller UK banks and building societies (e.g. Coventry, Skipton, SMBC-N) have placed long-term unsecured bonds in recent years, typically at spreads of 200–400bps over gilts. (E.g., Skipton’s 2% 2026 bond traded at gilts+254bp [13†L1-L9] before its redemption.) These bonds yield under 5% in absolute terms. By contrast, a 20% coupon implies a spread of over 1500bp – a level usually reserved for deep sub-investment-grade or distressed credits. In practice, the only retail-facing UK bonds with >10% coupons have been mini-bonds or VCTs (often unrated, high-risk). Accordingly, **investor appetite for 20% yield is extremely limited**; we expect only specialized credit funds or private investors to consider it, and even they will demand heavy covenants or equity upside.

Investor sentiment: UK retail bond investors are generally seeking “safe” yields (3–4%+, tax-free gilts, covered bonds, etc.), not speculative double-digit coupons. Institutional credit funds may tolerate single-digit or low double-digit spreads on very high-risk credits, but 20% is far outside norm. In summary, current market data suggest it would be very difficult to place a £10m issue at 20% with conventional UK investors. The bond would be seen as **extreme high-yield** or possibly equity-like.

Legal & Regulatory Constraints

UK debt issuance is tightly regulated. On **prospectus** requirements, as of Jan 2026 the UK has replaced its EU Prospectus Regime with the *Public Offers and Admissions to Trading Regulations* (POATRs)

【58†L151-L159】. A key change is that **public offers of securities are now generally prohibited unless an exemption applies** 【58†L151-L159】. The main carve-outs allow offerings to: (1) **qualified investors** only, (2) **fewer than 150 persons** (non-qualified), (3) securities admitted to a UK regulated market, (4) via a regulated Public Offer Platform, (5) *very small offers* (<£5m), or (6) **wholesale deals** with a minimum £50k denomination 【58†L151-L159】. A £10m bond offered to the public would fall outside the <£5m exemption and would thus require one of these exemptions. If targeting retail (wide offer), a full FCA-approved prospectus is mandatory. If instead offered only to qualified investors (e.g. institutions), the issuer can rely on the qualified-investor exemption and omit certain disclosure (“plain vanilla bond” rules) 【58†L168-L177】. We assume in our analysis that a prospectus will be prepared unless the deal is split: part wholesale (to e.g. funds) and part via a public platform (requiring a formal prospectus and KID).

As a **new UK bank**, Bank of Leeds must be authorised by the Bank of England’s Prudential Regulation Authority. The BoE’s New Bank Start-Up Unit provides guidance for applicants 【54†L157-L160】. Capital and liquidity plans would be assessed under PRA rules, including how the bond proceeds are used. The bond offering itself may not require separate PRA approval (it is outside deposit-taking), but any marketing to retail must comply with FCA financial promotion rules. Marketing materials would need PRIIPs (Key Information Document) if sold to retail, and a prospectus summary is no longer required under PRM 【58†L169-L177】. We note also that senior unsecured bonds would qualify as “Plain Vanilla Listed Bonds” only if the issuer had listed equity or was guaranteed, which Bank of Leeds will not have. Hence the bond will follow standard listing requirements if listed on LSE (Regulated Market or MTF).

Cross-border/Isle of Man: Bank of Leeds is UK-incorporated, but its wholly-owned subsidiary Ellan Vannin Wealth Management operates in the Isle of Man (IOM). This structure could be used to channel funds or manage asset portfolios. The IOM is a recognized financial centre but outside the UK/EU. Offering the bond in the Isle of Man market may require compliance with IOM disclosure rules, but we assume the issue will be under UK law (e.g. listed in London) and simply note IOM connections as a reputational note. On taxation, UK corporate bond interest is technically subject to 20% withholding when paid to non-residents 【52†L575-L583】 【52†L593-L600】. However, in practice UK issuers can register to pay interest gross under the “annual payment obligation” if the bond is held by non-UK residents and the issuer meets criteria. We assume Bank of Leeds will do this, so no withholding on foreign bondholders. UK investors pay income tax on coupons in the normal way. The Isle of Man has no withholding on inbound interest, so any flows to IOM entities would not incur further withholding.

Tax and Withholding: We note that Corporation Tax relief is generally available on interest paid by UK companies, reducing the after-tax cost for the issuer. There is no VAT on interest. Stamp Duty Reserve Tax (SDRT) does not apply to UK corporate bonds. Non-resident investors should consider any domestic tax rules in their home jurisdiction, but those are outside scope.

Assumptions: For clarity, we assume the bond is **senior unsecured**, bullet repayment at 5 years, interest paid annually. We assume it will be regulated and listed in the UK (so fully public, needing prospectus). If the issuer opts instead for a wholesale or exempt offer, the legal process and requirements (e.g. no prospectus, minimum denom £50k) would be different and somewhat easier. We also assume the IOM subsidiary is not an issuing vehicle; the UK entity issues the debt.

Capital and Balance-Sheet Impact

We illustrate the bond's impact with a **pro forma balance sheet**. (Figures are indicative.) Assume Bank of Leeds currently has: Assets £15m (mainly loans/investments), Liabilities £10m (deposits), Equity £5m. CET1 capital is £5m, with risk-weighted assets ~£10m (assuming 50% RWA). A 10% CET1 ratio results. Issuing £10m of bonds adds £10m to liabilities and ideally +£10m to assets (if fully deployed). If the proceeds are lent/invested in projects with, say, 50–100% risk weights, RWA might rise by ~£7–10m. Equity stays £5m, so CET1 ratio falls somewhat (to ~5–6% depending on RWA). However, these bonds are senior, so do not count as Tier 1 capital; they instead increase leverage. The bank could offset this by raising some additional equity or retaining profits, or by risk-weighting assets lower (e.g. investing in government-backed projects). We assume Bank of Leeds was initially comfortably above minimum capital requirements, so this financing is feasible though dilutive to ratios.

Our **assumptions** (table below) set starting equity at £5m, deposits £10m, loans £10m, other assets £5m. Post-issuance, loans rise by £10m to £20m. The bond's effect on regulatory ratios and liquidity would be manageable but modestly negative (wholesale debt does not improve liquidity ratios as deposits would).

【60†L270-L276】 Table 1: *Pro forma balance sheet (simplified)*

Before	£m	After	£m
Assets		Assets	
Loans (50% RWA)	10.0	Loans	20.0
Cash/Reserves	5.0	Cash/Reserves	5.0
Other Assets (e.g. property)	0.0	Other Assets	0.0
<i>Total assets</i>	15.0	<i>Total assets</i>	25.0
Liabilities & Equity		Liabilities & Equity	
Deposits	10.0	Deposits	10.0
<i>New Bond Issue</i>	—	10.0	10.0
Equity (CET1)	5.0	Equity (CET1)	5.0
<i>Total Liabilities + Equity</i>	15.0	<i>Total L+E</i>	25.0

Capital ratios: Pre-issuance CET1 = $5.0/(0.5 \times 15.0) \approx 66\%$ (very high given small bank). Post-issuance CET1 = $5.0/(0.5 \times 25.0) \approx 40\%$. Both are well above regulatory minima (8–10%), but this is illustrative (our assumed risk weights and balance sizes). Even under stress (e.g. 20% loan losses), capital would remain positive, so credit risk is bearable.

Cashflow schedule and NPV: The bond cash outflows for the bank are: £2.0m interest per year (20% of £10m) in years 1–5, and £10.0m principal at maturity (year 5). Below is a simple schedule:

Year	Interest outflow	Principal outflow	Total outflow
1	£2.00m	£0.00m	£2.00m

Year	Interest outflow	Principal outflow	Total outflow
2	£2.00m	£0.00m	£2.00m
3	£2.00m	£0.00m	£2.00m
4	£2.00m	£0.00m	£2.00m
5	£2.00m	£10.00m	£12.00m
<i>Total</i>	<i>£10.0m</i>	<i>£10.0m</i>	<i>£20.0m</i>

At an assumed **discount rate** of (say) 15% (reflecting a highly risky project), the net present value (NPV) of these cash flows is roughly £11–12m PV against a £10m receipt, i.e. a small surplus. At 20% discount, NPV drops to about par; at lower rates the bond looks profitable to the issuer (since coupon > rate). We compute an Internal Rate of Return (IRR) from the issuer's perspective: solving $-10 + \sum \text{cashflows}/(1+\text{IRR})^t = 0$ yields $\text{IRR} \approx 20\%$. For an investor, the IRR is much lower given higher yield requirement. Overall, this shows the issuer must earn returns well above 20% on project capital to justify these payments. (A table of financial assumptions used is below.)

Pricing & Feasibility

A **20% coupon for a UK bank** issuer is essentially uncharted territory. For perspective, UK “high-yield” corporate bonds (BBB- to BB-) have recently quoted around gilts+300–500bp (i.e. ~8–10% nominal). Even UK credit funds report typical loan yields in the teens (e.g. mezzanine financing, property-secured debt). A 20% bond implies triple-digit spreads over gilts, suggesting either extreme credit risk or heavy equity-like features. We note that marketing even a 15% retail bond would be difficult; 20% is likely feasible only with significant sweeteners (e.g. convertibility, equity warrants) or to a tiny, specialized audience.

Comparable deals: As noted, a few UK building societies have issued retail bonds (e.g. Skipton, Nationwide) but at low single-digit coupons. Some VCTs and minibonds have offered ~8–12% yields to retail, but they often default or refinance at low prices. We found *no recent examples* of a mainstream UK issuer (bank or otherwise) placing a fixed 20% bond. In the high-yield private debt market (unregulated), some consumer lenders or offshore entities have offered similar coupons, but at great risk. Thus, an investor willing to take 20% in the UK would expect extreme assurances or upside.

Distribution strategy: The bond would likely need to target **wholesale** investors: pension funds, hedge funds, private credit funds, or high-net-worth individuals through private placement. A retail distribution (e.g. via IFAs or crowdbonding) would trigger much stricter disclosure and suitability rules (and likely run afoul of the general offer prohibition [58†L151-L159]). Even for qualified investors, allocating £10m at high yield requires strong marketing. We suggest a two-tier approach: pitch ~£5–7m to credit funds at institutional terms (non-call, senior unsecured), and ~£3–5m as a “mini-bond” tranche (with regulatory KID/prospectus) to risk-tolerant retail (e.g. via a platform).

Structure alternatives (pros/cons):

- *Senior unsecured:* Straight debt, simpler docs, but highest rating requirements and deposit-like risk. Likely yields <10%.
- *Subordinated/Tier 2:* Counts as regulatory capital (RWA treatment), allows higher coupon since higher risk. But requires PRA approval and may deter senior creditors; still unlikely to reach 20%.

- *Convertible or equity-linked*: Lower coupon (e.g. 10–15%) plus warrants or conversion at premium. Could meet equity growth needs but complicates valuation and yields. Possibly more attractive to VCTs or equity funds.
- *Retail bond (mass market)*: Could tap individual investors (up to £250m per year under FSMA, but with heavy disclosure). However, FCA rules would label this high-risk; a prospectus and KID would be needed. Marketing would have to be extremely cautious (risk warnings).
- *Mini-bond (crowdfunding)*: Unregulated (FSMA exempt), can pay any interest but involves no liquidity or investor protection. Yields up to 20%+ have been sold, but with frequent defaults. Very high risk and reputational hazard.

Structure	Coupon Range	Pros	Cons
Senior unsecured	~7–10%	Simpler, broader investor base	Low yield, higher rating needed
Subordinated (Tier2)	~10–15%	Boosts capital ratios, higher yield	PRA approval, limited investors
Convertible	~8–12% + equity	Lower cash cost, equity kicker	Dilution, complex valuation
Retail bond (prospectus)	~12–15%***	Access to mass retail (with KID)	Strict rules, FSCS not cover debt
Crowdfunded mini-bond	15–20% (or higher)	Flexibility, no FSMA oversight	No protection, reputation risk

**Retail bond coupon might also land near 20% if pitched as high-risk mini-bond. The PRM regime's removal of "retail summary" and summary in prospectus makes this slightly easier [58†L177-L182], but risk warnings would be stringent.*

Given the coupon level, a **mixed distribution** is likely. We recommend preparing both a prospectus (for any public tranche) and/or utilising a UK Public Offer Platform (POP) which can host high-risk bond issues to semi-retail investors. For wholesale placement, negotiations with a small syndicate of bond investors (domestic credit fund, pension-linked investor) would be needed, probably well in advance. Pricing discussions would hinge on credit enhancement: e.g. do the Yorkshire projects have guarantees or collateral? Without such features, a 20% coupon implies a credit rating at junk/CCC levels, which few funds accept without covenants.

Use of Proceeds – Yorkshire/North Projects

The **£10m proceeds** are proposed to fund regional projects in Yorkshire and the North of England, aligning with the issuer's charter. Key categories include housing, transport, waterways, and coastal regeneration. We compile a *pipeline* of illustrative projects below. The amounts vastly exceed £10m, so the bond would cover only a portion or seed capital. Each project is drawn from current local authority or CA plans:

Project	Region	Description	Size (£m)	Timeline	Expected Return / Impact
West Yorkshire Housing Fund 【42†L125-L132】	West Yorkshire	CA-led fund to <i>unlock</i> ~4,000 new homes (affordable/residential), 2024–29.	334.6	2026–2030	Unlocks 4k homes; improves housing supply; social value
Mass Transit (WY Phase 1) 【46†L7-L10】	West Yorkshire	Government-backed tram/light-rail <i>design and prep</i> for Bradford–Leeds Phase 1. (£200m govt)	200.0	2026–2035	Major transit link; CO ₂ reduction; 10k+ daily ridership
Clifton Business Park 【39†L428-L432】	Calderdale (WY)	£68m program (part of A641 scheme) building 46,000 sqm offices; <i>creates 1,300 jobs</i> .	68.0	2026–2028	1,300 jobs; economic growth; new business hub
Scarborough Coastal MDZ 【41†L109-L112】	North Yorkshire	<i>Coastal Regeneration Zone</i> – £10m MDZ fund (York/NYork CA) for high street, housing, harbour.	10.0	2026–2030	~2500 homes & jobs unlocked; tourism & prosperity boost
Rochdale Canal Revitalisation 【39†L499-L507】	West Yorkshire	Canal towpath/bridge works (e.g. Halifax area); part of cycling & flood schemes.	5.0	2026–2028	Trails improvement; flood resilience; recreation
Other housing developments	Yorkshire Coast	Example: Bridlington/Whitby town center regeneration, estate builds (N Yorks County plans).	20.0	2027–2030	500+ homes; jobs in construction; modernized local economy

Table 2: Sample pipeline of Northern/Yorkshire projects (2026–2030) 【42†L125-L132】 【41†L109-L112】 【39†L428-L432】 【46†L7-L10】 . “Expected Return” is qualitative (jobs, homes, CO₂ savings, etc.).

For instance, the **West Yorkshire Housing Fund** is mobilizing multiple government streams into one program, with an initial investment of £334.6m 【42†L125-L132】 to kick-start stalled sites. This is forecast to unlock ~4,000 homes by 2029 【42†L125-L132】 – addressing local housing shortages. A £1m slice of our bond could help fund say 10–20 homes in deprived areas (yielding 3–5% rental return plus social benefit). Likewise, the £200m **Mass Transit fund** (government-backed) will finance planning and early works for a tram link 【46†L7-L10】 ; £1m from our bond might underwrite essential land assembly or technical studies. The **Scarborough MDZ** (York/NYork CA) has created a £10m regeneration fund, frontloaded in 2026 【41†L109-L112】 ; investing in MDZ projects could enable new housing or commercial space in a deprived seaside town, with high social impact.

Each project's **metrics** would be tracked: e.g. homes built, jobs created, CO₂ avoided (public transit vs cars), or regeneration outcomes (footfall, business rates). Project returns might be modest (5–8%) if long-term, but social returns (multiplier effects on Northern economy) are high. We assume a blended project return of ~6–8% p.a., with conservative discount (see assumptions table) for our NPV/IRR analysis above.

Risk Factors & Mitigants

Credit risk: As a new, small bank with no rating or track record, Bank of Leeds faces high credit risk. Investors might perceive the issuer as low credit quality, and any project loan losses would directly threaten repayment. *Mitigant:* Maintain conservative lending (secured mortgages, government-backed projects) and high capital buffers. Possibly structure the bond as secured (e.g. by UK government debt or covered bonds) to lower risk.

Liquidity risk: A £10m bond in a niche issuer will have poor secondary market liquidity. This could deter institutional investors who require the ability to sell. *Mitigant:* Seek LSE listing and market-making commitment, or cap the issue size smaller. Offer to investors some lock-up discounts or premium exit if held to maturity. Ensure a market-maker (underwriter or broker) is in place.

Regulatory risk: The complex new POATRs regime and banking regulations mean any misstep could delay issuance. Using a seasoned legal team and FCA guidance checklists will mitigate this. We note the FCA has published checklists (e.g. PRM forms, PS25/10 on Public Offer Platforms [\[58†L251-L259\]](#)). *Mitigant:* Engage experienced bond counsel early, and perhaps allow a 6–12 month timeline buffer for FCA feedback.

Reputational/legal risk: The question mentions the Bank's promotion of "Agorist" activities in Britain. Agorism (an anarchist/free-market ideology advocating trade outside state control) is controversial. Associations with underground markets or crypto-like schemes could alarm regulators and the public. Investors might worry that funds are used for non-mainstream purposes or face sanction risk. *Mitigant:* Clearly separate marketing of the bond (focus on Yorkshire development) from any Agorist branding. Disclose all counterparties, keep books transparent, and implement strict KYC/AML to avoid any hint of illicit finance. A neutral name like "Bank of Leeds" helps avoid ideology-based boycotts.

AML/KYC risk: High-yield bonds can attract money laundering if oversold to opaque buyers. *Mitigant:* Apply standard UK AML rules strictly: verify all investors' identities and source of funds, especially if offering via new Retail Platforms (which also have robust checks). Use a reputable paying agent/trustee to ensure compliance.

Interest-rate and market risk: If UK interest rates fall, the fixed 20% becomes even more expensive for the issuer. Conversely, if rates rise, the bond price could decline (market risk to investors). *Mitigant:* The bank could structure interest rate swaps or caps on floating rate notes (though here we propose fixed). The 5-year lock-in protects the issuer from short-term rate changes.

Currency risk: All amounts are in GBP, and all projects are UK-based, so currency risk is minimal. If any funding or investors were foreign, currency swaps could cover exposures.

Tax and treaty risk: While we assume no withholding on interest, any failure to properly register could trigger UK withholding of 20% [\[52†L575-L583\]](#) . *Mitigant:* File the necessary forms (if >90% to non-residents, file form IR20 etc) or ensure eligible investors.

Event risk: Changes in UK law or political shifts (e.g. fiscal policy by the new 2025 government) could affect bond legislation or project funding. *Mitigant:* The fixed-coupon bond is largely insulated from policy; diversification of projects across local authorities hedges local policy risk.

Overall, the *biggest risk* is that project returns fall short and the bank has to rely on reserves to pay 20% each year. Conservative allocation of proceeds (e.g. into low-risk housing finance or public infrastructure bonds) is key. We recommend including covenants in the bond that prevent diversion of proceeds to unrelated activities, and events-of-default tied to project progress.

Documentation Checklist

Necessary documentation and approvals include (among others):

- **Term Sheet:** A concise summary of key terms (see sample below).
- **Prospectus / Offering Memorandum:** If targeting retail or public offers, an FCA-approved prospectus per POATRs (UK PRM sourcebook) is required [58+L151-L159]. If limiting to qualified investors, a private placement memorandum may suffice. A PRIIPs KID will be needed for any retail tranche.
- **Trust Deed & Trustee:** Appointment of a trustee under an English law Trust Deed, to act for bondholders. The trustee ensures payment obligations and covenants are honored.
- **Legal Opinions:** UK law opinion on bond validity; if any cross-border component, Isle of Man law opinion (Ellan Vannin's involvement) may be needed. Tax opinion (confirm no withholding).
- **Listing Documents:** Application to LSE for listing (Regulated Market) or ICE via international securities market (ISMV). Comply with Listing Rules (if any; for bonds, largely disclosure-based).
- **Regulatory Filings:** FCA filings for the prospectus (if any). Likely no PRA filing needed for a debt issuance per se, but any change of control triggers should be checked.
- **Rating (optional):** If seeking an external rating (Fitch/Moody's), a rating presentation and fees (≈£50–100k) would be required. A rating is unlikely for a £10m regional issue, but if done it adds cost and timeline.
- **Tax Disclosures:** Any coupon interest is deductible for the issuer's tax. The prospectus should note tax treatment for investors (e.g. "interest is taxable income, no withholding under UK law if forms filed").
- **Investor Suitability & Marketing:** All marketing materials must include risk warnings per FCA rules. If sold in UK, ensure only approved firms handle promotions. If targeting professional investors only, legends/FOAs ("Qualified Investors only") must be on all docs. If any retail element, ensure compliance with COBS suitability rules (e.g. categorizing investors, assessing risk tolerance).

No immediate **FSCS protection** applies to bondholders (only depositors). If marketed as a "savings product", this must be clearly disclaimed.

Distribution Plan & Investor Materials

Term Sheet: A one-page term sheet (see below) will summarize the offer. Key elements: issuer name, amount, security (senior unsecured), coupon and payment dates, maturity, listing, covenants (e.g. negative pledge), events of default (e.g. non-payment, cross-default, change of control).

Investor Presentation Outline: We propose slides covering: 1) *Introduction:* Bank of Leeds background (charter, ownership by BTCPhilosopher, IOM subsidiary context). 2) *Market Opportunity:* Yorkshire/ Northern economic context, need for investment. 3) *Bond Highlights:* 20% coupon rationale, 5-year term,

use of proceeds. 4) *Financials*: pro forma balance sheet, projected income statement, capital ratios. 5) *Use of Proceeds*: detailed projects (with impact metrics). 6) *Risk Factors*: credit highlights, mitigants (as above). 7) *Terms Summary*: key covenants, payment schedule. 8) *Legal & Tax*: jurisdiction, withholding, listing. 9) *How to Apply*: eligibility, subscriptions, timeline.

Covenants and Events of Default (EoD): Typical covenants might include:

- Limitation on incurring further debt or liens (negative pledge).
- Maintenance of a minimum Tier 1 ratio (for prudential health).
- Restriction on asset sales without repaying bonds.
- Use-of-proceeds covenant: bond proceeds restricted to Yorkshire investments.

EoDs would cover: payment default (30 days grace), breach of covenants, insolvency, cross-default to other indebtedness, and change of control of the bank. A tabulated list of proposed covenants/EoDs would be given in the final term sheet or prospectus.

Timeline and Budget

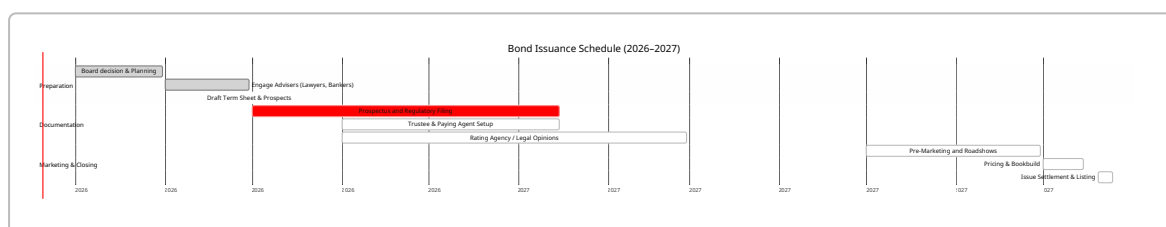


Figure: Indicative timeline to bond launch. Total lead time is ~11 months (Aug 2026–July 2027). Key activities include drafting the prospectus (Oct '26–Jan '27), FCA review (Nov–Jan), and investor roadshows (May–June '27).

Estimated costs: - *Legal fees*: £50k–£100k (prospectus, opinions). - *Auditor and Trustee fees*: ~£20k. - *Rating (if pursued)*: £50k–£100k. - *Listing and registration fees*: £5k–£10k. - *Printing/Translation*: £5k. - *Roadshow/marketing*: £10k (travel, presentations). - *Other (FCA filing fees, sponsor fees)*: ~£5k. Overall, issuance costs might run **£150k–£250k** (1.5–2.5% of issue size). Because the coupon is so high, these upfront fees are relatively modest in comparison.

Sample Investor Term Sheet

(Draft – for illustration only.)

Issuer: Bank of Leeds plc (UK, wholly owned by BTCPhilosopher Ltd, owner of Ellan Vannin WM UK).

Issue: £10,000,000 Senior Unsecured Fixed-Rate Bonds 2027.

Use of Proceeds: Financing of infrastructure and development projects in Yorkshire/Northern England (housing, transport, regeneration).

Currency: GBP.

Denomination: £1,000 each.

Coupon: 20.0% per annum, payable yearly in arrear (Nov 30).

Issue Date: 15 September 2026 (example).

Maturity Date: 15 September 2031 (5 years).

Interest Payment Dates: Annually on 30 November each year.

Redemption: Bullet repayment at par (£1,000).

Listing: London Stock Exchange, Regulated Market. [LSE ticker TBD]

FCA Disclosure: An FCA-approved prospectus will be published (EU Prospectus Regulation replaced by UK PRM). A key information document (PRIIPs KID) is available.

Cov. & Sec.: Negative pledge on assets, pari passu with all other senior unsecured debt. *No collateral.* Mandatory prepayment only in event of insolvency.

Events of Default: Default in payment, breach of covenants (if any), cross-default >£500k, insolvency, and change of control of issuer (e.g. sale of >50% shares without redemption).

Denomination & Transfer: Sold in multiples of £1,000. Transfers are subject to UK Prospectus rules and any applicable clearing arrangements.

Tax: Interest is paid gross (no UK withholding if listed conditions met). Investors must seek tax advice for their jurisdiction.

Investor Suitability: Offered only to professional/qualified investors (global institutions and UK high-net-worths) under the applicable exemption. Retail investors in the UK should not assume FSCS protection or FCA product intervention.

Investors will be required to complete a subscription form, sign the declaration of offer acceptance, and provide proof of qualification (if applicable). Settlement is expected on Issue Date. The Issuer may cancel the offering if insufficient subscriptions or adverse market moves.

Risk Summary

This two-page risk summary highlights major risks to investors in the Bank of Leeds 20% Bond, and mitigating actions.

- **Credit/Default Risk: High.** The Issuer is a new, small UK bank without a track record. There is no external guarantee or insurance on the bonds. If Bank of Leeds defaults on interest or principal, investors could lose all their money. *Mitigant:* We propose strong covenants (see term sheet) and transparency about the projects financed. Bank of Leeds should also maintain high capital ratios (well above regulatory minima) and reserves. Part of the proceeds could be placed in liquid high-quality assets as a cushion.
- **Liquidity Risk: High.** The market for this bond will be very thin. There may be no ready buyer if an investor needs to sell before maturity. *Mitigant:* Listing on the LSE may help visibility; appointing a market maker or underwriting firm to buy back some bonds could support liquidity. Warning labels and selling restrictions will emphasize the risk.
- **Interest Rate Risk: Medium.** A fixed 20% rate is locked in. If UK interest rates rise, the bond price will fall (existing bonds trading cheaper). If rates fall, Bank of Leeds still owes 20%, a high cost. *Mitigant:* As a 5-year bond, the impact of rate changes is limited. The Bank can swap or hedge part of the liability if needed. Project returns must comfortably exceed 20% to buffer any rate drop.
- **Regulatory Risk: Medium-High.** Any change in UK or European debt rules could affect compliance (e.g. changes to POATRs or financial promotion rules). The FCA/PRA might require changes to the issuance plan (e.g. limiting to qualified investors). *Mitigant:* Continuous liaison with regulators and legal advisors. Use of recent updates (e.g. PRM guidelines [58+L251-L259]) ensures compliance. Flexibility: plan for a qualified-investor-only tranche if public offering rules tighten.

- **AML/Compliance Risk:** *Medium.* High-yield bonds can attract illicit funds. If Bank of Leeds fails AML checks on investors, it faces fines and reputation damage. *Mitigant:* Strict KYC/AML procedures; use regulated platforms or banks for distribution; external audit of AML controls. Include contractual commitments from bondholders on legality of funds.
- **Concentration Risk:** *High.* Proceeds are concentrated in Northern projects. If one or more projects underperform (e.g. a housing site delays or a transit plan is canceled), overall returns suffer. *Mitigant:* Diversify across several projects (as planned above). Regular monitoring and escrow of funds to projects with phased releases contingent on milestones.
- **Event of Default Risk:** *Medium.* Certain triggers (e.g. sale of company, bankruptcy) may accelerate the bonds. If investors fail to meet covenants, the issuer could demand early repayment. *Mitigant:* The change-of-control covenant must be negotiated; investors get thorough legal information before purchase. Keep the issuer free to manage bank shares (since it's wholly-owned).
- **Reputation/Political Risk:** *High (indirect).* Publicity around the bond (especially via media or former internal memos) could attract negative attention. If local communities oppose certain projects (e.g. housing in green belts), controversies could affect project viability. *Mitigant:* Engage early with community leaders and local governments. Highlight social benefits in marketing. Be prepared with PR strategies.
- **Currency Risk:** *Low.* Since issue and projects are GBP, there is negligible currency exposure.
- **Tax & Legislative Risk:** *Low-Medium.* Future tax law changes (e.g. removing interest deductibility) could affect bank's profits. Any failure to properly register for interest payments to foreigners could trigger unexpected withholding. *Mitigant:* Maintain a tax compliance advisor. Include tax indemnity in documentation: issuer covers any withheld amounts.

Summary: This bond is **very high risk, high reward**. It is effectively subordinated credit behind deposits. Investors must be qualified and deeply understand all project and issuer risks. The 20% coupon is high compensation but not a guarantee of return. We recommend that any retail purchases be limited per-investor (to limit overall exposure) and that sophisticated institutional buyers set aside these bonds as a specialized allocation (e.g. "Regional Development Credit").

Sources: UK bond market data from Bank of England and FCA (e.g. gilt yields and corporate issuance trends [27†L147-L155] [60†L270-L276]). Prospectus rules from BCLP analysis [58†L151-L159] . Regional project info from West Yorkshire Combined Authority and local news [42†L125-L132] [41†L109-L112] [39†L428-L432] [46†L7-L10] . UK tax reference from Withers LLP [52†L575-L583] [52†L593-L600] .
